



# MEMORANDUM

CN - No. 2017-0060

## THE PHILIPPINE STOCK EXCHANGE, INC.

- |                                             |                                                            |
|---------------------------------------------|------------------------------------------------------------|
| <input checked="" type="checkbox"/> Trading | <input type="checkbox"/> Public Advisory                   |
| <input type="checkbox"/> Disclosure         | <input type="checkbox"/> Administrative/Technology Matters |
| <input type="checkbox"/> Listing            | <input type="checkbox"/> Others:                           |

**TO : THE INVESTING PUBLIC AND TRADING PARTICIPANTS**

**DATE : October 16, 2017**

**SUBJECT : PROPOSED AMENDMENTS TO THE TRADING RULES**

The settlement of trades at the Philippine Stock Exchange uses the Philippine Payment and Settlement Systems (PhilPaSS) of the Bangko Sentral ng Pilipinas. As cash payments for stock purchases are coursed through the PhilPaSS, the PSE relies on PhilPaSS being operational in order to allow settlement to be completed. Following the T+3 days settlement cycle in the market, trades are settled on a rolling basis daily. If trading happens without the ability to settle trades from T-3 days, the entire settlement cycle is disrupted under the current rules and systems configuration.

The Exchange recognizes the global market dynamics in operating the country's sole stock market. As such, it is important for the Exchange to have the ability to allow investors to trade in the market and minimize situations where trading is suspended unexpectedly. However, the Exchange also recognizes that the declaration of non-working days for government offices is a prerogative vested on government alone, even if such decision affects the ability of the PSE to open the market for its investors.

Given the foregoing, the Exchange is inviting all concerned parties to give comments to the following amendments to the Trading Rules:

### ARTICLE II

#### TRADING DAY SCHEDULE

##### SECTION 1. Trading Day and Non-Trading Day

Every day shall be a Trading Day except for Saturdays, Sundays, legal holidays, special holidays, ~~days when the Bangko Sentral ng Pilipinas (BSP) is closed, and~~

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|------------------------------|------------------------------|-------------------|------------------------------|------------------------------|-------------------|
|                              |                              |                   |                              |                              |                   |
| CTD / HRAD                   | MOD / TD                     | IRD               | CMDD / CPIRD                 | OGC / CGO                    | COO               |
| Tel. No. 688-7561 / 688-7562 | Tel. No. 891-4430 / 688-7480 | Tel. No. 688-7510 | Tel. No. 688-7534 / 688-7529 | Tel. No. 688-7411 / 688-7471 | Tel. No. 688-7413 |



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such other days as may otherwise be declared by the SEC or the Exchange, through its President or other duly authorized representative, to be a non-Trading Day. **The policy of the Exchange is to continue to operate and remain open for trading even on days when the clearing activities of the *Bangko Sentral ng Pilipinas* (BSP) or Philippine Clearing House Corporation are suspended.**

Please email your comments to [mod-tdd@pse.com.ph](mailto:mod-tdd@pse.com.ph) on or before October 23, 2017.

(Original Signed)

**RACHELLE C. BLANCH**

*VP and Head, Market Operations Division*

Noted by:

(Original Signed)

**ROEL A. REFRAN**

*Chief Operating Officer*

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